

Finance - 1st paper

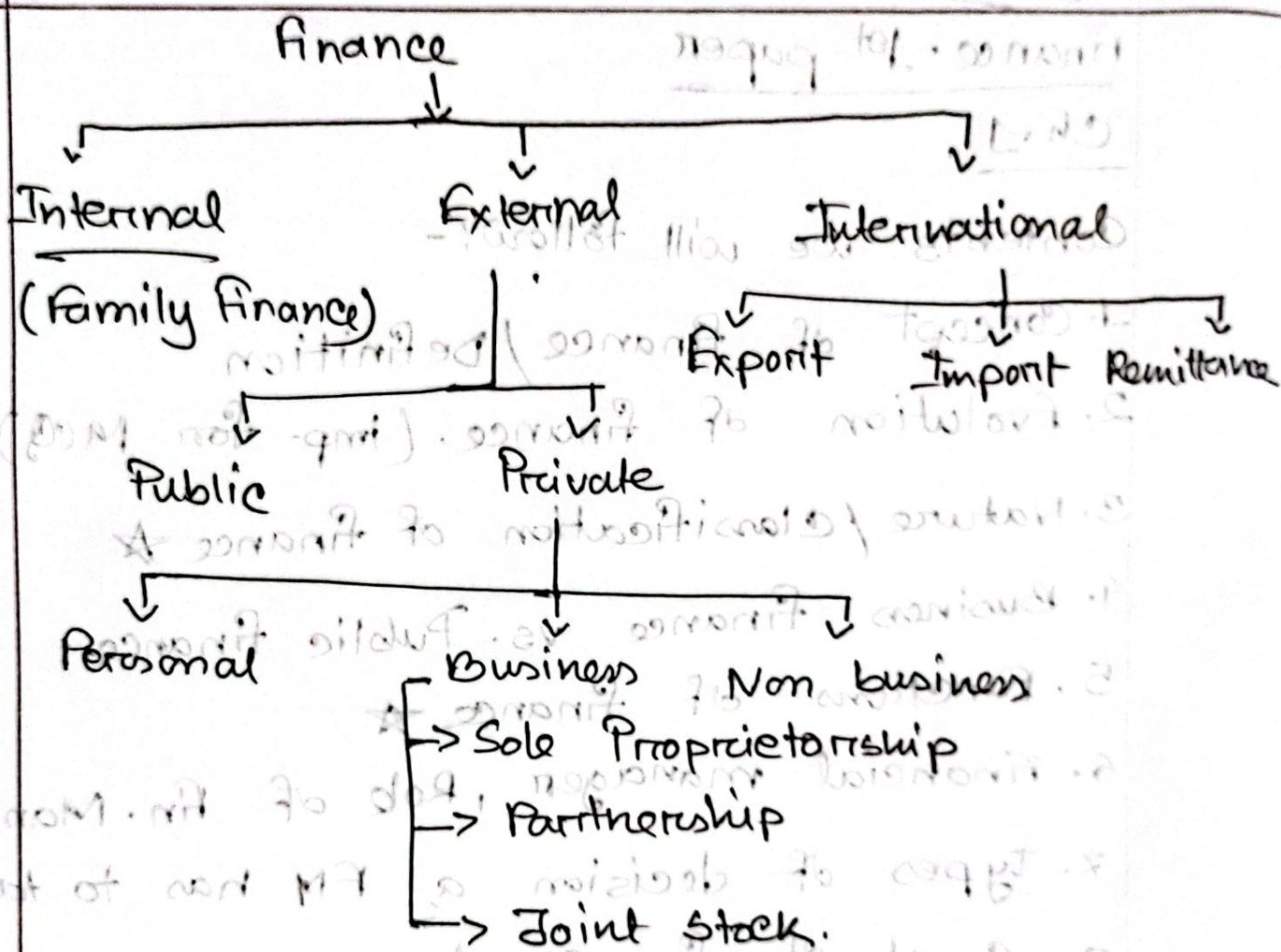
Ch 1

Contents we will follow:-

1. Concept of finance / Definition
2. Evolution of finance. (imp. for MCQ)
3. Nature / Classification of finance ★
4. Business finance vs. Public finance
5. Functions of finance ★
6. Financial manager, Rob of Fin. Man.
7. Types of decision a FM has to take ★
8. Goal of finance. ★
9. Principle of finance. ★
10. Social Responsibility of Finance.

Classification of Finance

P.T.O. →



Functions of finance

1. Raising Fund (Sources of analysis of advantage - disadvantages of each sources)
- Current asset / cost $\rightarrow$ Short term finance
- Fixed μ / μ $\rightarrow$ Long term finance
- Own / Equity capital or, debt capital)

20/01/21

5 - 1010

100

2. Capital Budgeting decision (Investment in (long term) fixed assets & shares, bonds etc.)

3. Current asset management

4. Distribution of fund.

Capital budgeting decision (long-term investment decision)

Current asset management (short & mid-term)

Distribution of fund (dividend payment, tax, interest)

Types of decision

1. Financial decision

2. Investment decision
Capital budgeting

3. Dividend decision
priorities

Dividend payment
retained earnings
depreciation reserves

QWQ

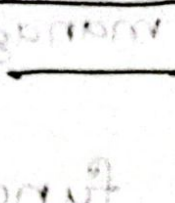
Class - 3

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Ch. 1

Introduction to Finance

Functions of Finance

1. Raising fund 
 - Short term (1 or less)
 - Mid term (1 to 3/5)
 - Long (5 or more)

2. Capital budgeting decision
(Long-term investment decision)

3. Current asset management
(Short & mid-term)

4. Distribution of fund (dividend payment, tax, interest)

Types of decision

1. Financing decision

2. Investment decision 

- 1. Long term → capital budgeting

3. Dividend decision 

- 2. Short & mid → working capital management


Dividend payment Retained Earnings/
Reserved income

class - 9

ch - 1

21/9/23

Goal of finance

1. Profit maximization

Limitation

- 1. Time value of money is not considered
- 2. Risk is not considered.
- 3. Does not consider cash flow

2. Wealth maximization

→ Key indicator → Earnings per share (EPS)

→ Current Market price.

Net Profit

(-) Interest (Bond holder / Loan capital)

NPBT / EBT

(-) Tax

EAT (Earnings after tax)

class - 5

Principles of Finance

1. Principles of Risk & Return

→ What is risk? (Deviation of actual return from expected return)

→ What is return?

* Positive relationship of risk-return

2. Principle of Profitability and Liquidity

→ What is Liquidity?

→ " Profitability

* Liquidity and Profitability negative relationship.

3. Principle of Portfolio diversification

⇒ Warren Buffett → "Do not put all your eggs in one basket".

Structure of CO

a) Knowledge → What? / When?

b) comprehension → How? Why?

c) Application → Explain K →

C →

d) Higher Ability → Analyze / Evaluate

K →

C →

S →

H/A →

CO

class - 6

23/10/23

Ch-1

Q Solving (pg - 92)

Q-1.8

* Premium $\rightarrow$ Price greater than face value

* Discount $\rightarrow$ Price lower than face value

a) What is Public finance?

b) Why profit maximization is not considered the ultimate goal of finance?

Class - 23

22/11/25

1st paper

Chapter - 1

Profit Maximization

* To maximize profit (Traditional concept)

— Indicator:- $\frac{\text{Earnings}}{\text{Per share}} \text{ (EPS)}$

Wealth Maximization (Ultimate goal)

* To increase shareholder's wealth means increasing the market price of share

→ Indicator:-

Current market price of share

2nd paper

Chapter - 1

Q: 1.14 → Types of Banking Business

1. State Owned Bank

2.

24/10/25

Ques class - 12 (Absent)

1st Paper

Chapter - 13

Pg - 292

Ex: 3.43

A) We know,

$$PV_{OA} = A \times \left\{ \frac{1 - \frac{1}{(1+i)^n}}{i} \right\}$$

$$\text{or, } 15,000 = A \times \left\{ \frac{1 - \frac{1}{(1+0.14)^3}}{0.14} \right\}$$

$$\text{or, } 15,000 = A \times 2.321$$

$$\therefore A = \text{Tk. } 6,461$$

1	2	3	4 = 2 x i	5 = 3 - 4	6 = 2 - 5
Year	Loan at the beginning	Installment	Interest	Principal	Loan at the ending
1	15,000	6,461	2,100	4,361	10,639
2	10,639	6,461	1,490	4,971	5,668
3	5,668	6,461	794	5,668	0

Q13 class - 13 (Absent)

22/10/25

1st Paper

Time Value of Money

Mr. Rifat took a loan of Tk 1,00,000 from Brac Bank in the condition that he has to pay the first installment at the time of taking loan. Interest rate is 8% for 4 years. Prepare loan amortization schedule.

Here,

$$PV_{AD} = \text{Tk. } 1,00,000$$

$$i = 8\% \text{ or } 0.08$$

$$n = 4 \text{ years}$$

We know,

$$PV_{AD} = A \times \left\{ \frac{1 - \frac{1}{(1+i)^n}}{i} \right\} (1+i)$$

$$1,00,000 = A \times \left\{ \frac{1 - \frac{1}{(1+0.08)^4}}{0.08} \right\} (1+0.08)$$

$$\therefore A = \text{Tk. } 28,956$$

1 Year	2	3	4 = 2xi	5 = 346	6 = 2.5
Year	Loan at the beginning	Installment	Interest	Principal	Loan at the ending
0	1,00,000	27,056	0	27,056	72,044
1	72,044	27,056	3,764	22,192	49,852
2	49,852	27,056	3,988	23,068	25,884
3	25,884	27,056	2,071	25,884	0

* Rule - 72 [Annual]

$$i) n = \frac{72}{i} \quad ii) i = \frac{72}{n}$$

* Rule - 69 [Half yearly / semi-annual / bi-annual]

$$i) n = \frac{69}{i}$$

$$ii) i = \frac{69}{n}$$

Done